

Healthcare Investments and Exits

H1 2026

Biopharma | Healthtech | Dx/Tools | Device

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Barbells, Bookends and Have-Nots, Oh My



It was a year of bookends, and it's really hard to be in the middle. A Series A can still come from a good team and a strong idea, but Series B and C are harder to raise than ever. A small number of companies can have success across the board, but for most startups, an early round needs to bring them across the chasm into real evidence of success.”

Private healthcare markets have split this year. AI-related deals dominated headlines and fundraising. Meanwhile, the rest of the market struggled to raise capital, hindered by lack of liquidity, profitability and exits.

AI investing represented nearly 50% of fundraising and is reason for renewed optimism, but there are struggles across the board in private markets. Biopharma investing is down by 19%, nearly \$5B year over year (YoY). Dx/Tools is down 15%, at about \$2.2B. Bright spots have appeared in public and secondary markets, but fewer companies are reaching points where those options are available.

It was a year of bookends, and it's really hard to be in the middle. A Series A can still come from a good team and a strong idea, but Series B and C are harder to raise than ever. A small number of companies can have success across the board, but for most startups, an early round needs to bring them across the chasm into real evidence of success.

Even our terminology is starting to look out of date. The mega-deal — a round more than \$100M — has been the standard for an impressive funding round for decades. Between monetary inflation and deal trends, it's just not the headline it used to be. Raising \$100M or more is about twice as common this year as it was in 2019. Healthcare AI companies had to raise three times that amount in 2025 — more than \$300M — to be in the same top percentile that a mega-deal represented just six years ago ([page 10](#)).

The search for profitability has brought about a new wave of monetization beyond licenses and software-as-a-service (SaaS). OpenEvidence has made a name for itself through ad-supported services, securing a massive share of clinical users. Others are finding industry sponsors willing to pay to bring clinical decision support or patient services to users.

Will those be enough for tools that have struggled for profitability? There's another avenue that's becoming more and more appealing: data sales. A tool with access to the searches and preferences of thousands of providers or millions of patients certainly has something of value. And software user agreements can hide all kinds of permissions, even if a company isn't selling any data right now ([page 11](#)).

Even how we define product spaces is changing. “Longevity” has meant a lot of different things over the last few years, but some solid definitions have finally started to emerge. If you're not familiar with concepts like “geroscience,” “consumer healthspan” or “intrinsic capacity,” make sure you check out our spotlight ([page 18](#)).

Now, longevity and healthspan is a multi-billion-dollar space. It's spearheaded by a swath of deals where a \$1B Series A isn't even close to the biggest deal in the space over the last three years. It's crossing the breadth of healthcare, from consumer products, digital therapeutics and clinical healthtech to cutting-edge therapeutics.

The next big question is where liquidity will come from. Fundraising has dropped as limited partners (LPs) wait for returns and question the value of venture investing. Exits have continued to fade, as even M&A — the most reliable exit as IPOs have stalled — has fallen off. Venture capital (VC) firms are still sitting on dry powder, but the startup ecosystem relies on reinvestment ([page 22](#)).

It's always fascinating to watch market dynamics evolve and shift. And, as always, VC is at the leading edge. Keeping track of these changes and seeing where they'll lead is difficult at the best of times. We're excited to be here to help.



Megan Scheffel
Head of Life Sciences and Healthcare
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Healthcare Market Highlights

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Market Highlights

Macro Outlook

“Saying that there’s froth in artificial intelligence isn’t outside the consensus at this point. That said, the technological impact can still be dramatic and have a positive impact on productivity and company margins. It is still too early to measure AI’s impact precisely, but company adoption is on the rise and will continue to grow. Much like the PC and internet boom of the ’90s, two things can be true: First, that froth often forms around a new technological breakthrough and second, that the same breakthrough can be massively impactful to both the economy and users.”



Phil Neuhart

SVP, Director of Market and Economic Research



Investor Sentiment

There are signs of renewed opportunity as public markets begin to rebound. M&A is slowly accelerating, especially in biopharma as large-cap leaders refocus on pipeline innovation. Most of all, fundamentals are reasserting themselves, creating a better backdrop for differentiated, well-capitalized companies.



Trending

1. **Healthcare investment is, increasingly, AI. Projected to hit \$22B, AI is 46% of all healthcare investment.**
2. **VC is getting back to basics. Deal counts are down 7%** as investors insist on fundamentals.
3. **Living better, not forever.** Healthspan and longevity investment **grew 2.3x YoY.**



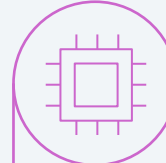
Biopharma

Overall biopharma investment took a hit, but metrics on individual deals stayed consistent. VCs are still willing to provide strong backing to companies with solid fundamentals and strong clinical evidence. Earlier-stage companies are being forced to make their money last until they’re out of the pre-clinical stage.



Healthtech

After a big first half, healthtech slightly beat its 2024 total before the end of the year. AI drove healthtech investment, with provider operations tools taking over as the single biggest area of AI focus. While alternative care investment has dropped off significantly — making up less than 10% of total healthtech investment in 2025 — select specialty alternative care solutions are still pulling in big deals.



Dx/Tools

Revenue and reimbursement issues keep coming up as the biggest issues in Dx/Tools investment. In general, late-stage companies struggled, with major downturns in deal volume, total amount invested, valuations, and deal sizes. There doesn’t seem to be a secret to success in the Dx/Tools space beyond having strong fundamentals. The Q4 flurry of acquisitions gives cautious optimism for this space as 2026 approaches.



Device

Between brain-computer interfaces, surgical robotics and AI-assisted imaging, there were a few bright spots as investment in the devices sector remained small but consistent. Big Five tech companies and corporate capital stayed active in the space, with Amazon, Google and Nvidia all putting money in this year.



Fundraising and Investment

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Fundraising Enters Reset Mode

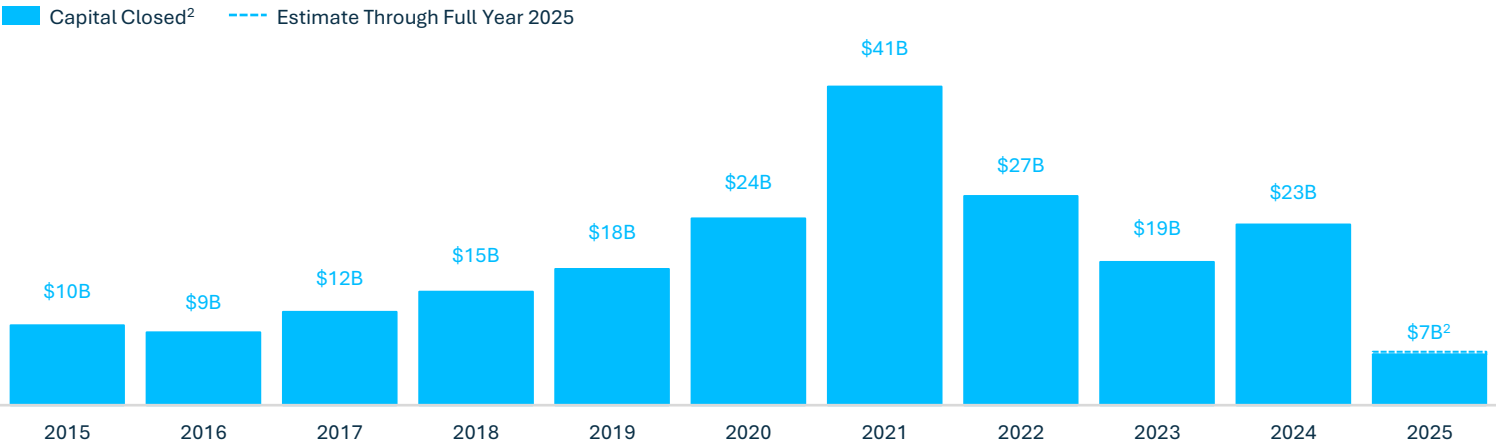
Healthcare venture fundraising has entered a clear reset, with capital raised by healthcare-focused funds falling to the lowest level in a decade. In 2025, funds have closed just \$6.6B to date, with full-year estimates reaching only ~\$6.9B. This is down sharply from the \$41B peak in 2021 and below even pre-pandemic norms. The pullback reflects tighter LP budgets following slower exit activity and distributions, along with a reassessment of fund sizes after the 2021 fundraising surge.

The capital being raised is increasingly concentrated among established managers with long track records or differentiated exposure to priority themes such as AI-enabled drug discovery and platform technologies. Firms like Frazier Life Sciences, ARCH Venture Partners and General Catalyst were among the managers to close more than \$100M dedicated to healthcare in 2025, underscoring LP preference for scale.

This fundraising environment is reshaping downstream behavior. First-time and emerging managers face prolonged fundraising cycles, while founders are seeing earlier capital go toward companies with clinical validation, revenue traction, or capital-efficient business models. Large, generalist VC firms with dedicated healthcare arms continue to raise, but overall fundraising dynamics point to a structurally smaller, more concentrated healthcare VC ecosystem.

Healthcare VC Fundraising Falls to a Decade Low

US Healthcare VC Fundraising 2015-2025¹



Notable Funds With More Than \$100M Allocated to Healthcare Closed in 2025



Notes: 1) Data as of 12/10/2025. 2) Includes funds that list healthcare-related sectors as a core area of focus. Estimates are based on weighted fund totals and anecdotal conversations with investors. 2) There is no change from the rounded total as of 12/10/2025 to the rounded estimate total for 2025.
Source: PitchBook Data, Inc., Preqin and SVB analysis.

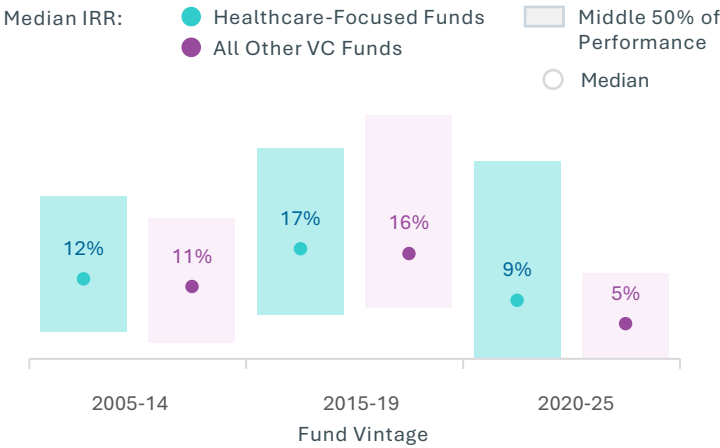
Paper Returns Hold, Cash Comes Later

Healthcare-focused venture funds continue to show internal rate of returns (IRR) on par with venture overall, even as exit activity has slowed. Across older vintages, median IRRs for healthcare- and non-healthcare-focused funds are comparable, whereas in newer vintages, healthcare funds show wider dispersion and stronger upper-quartile outcomes, reflecting outperformance among a subset of top-performing managers.

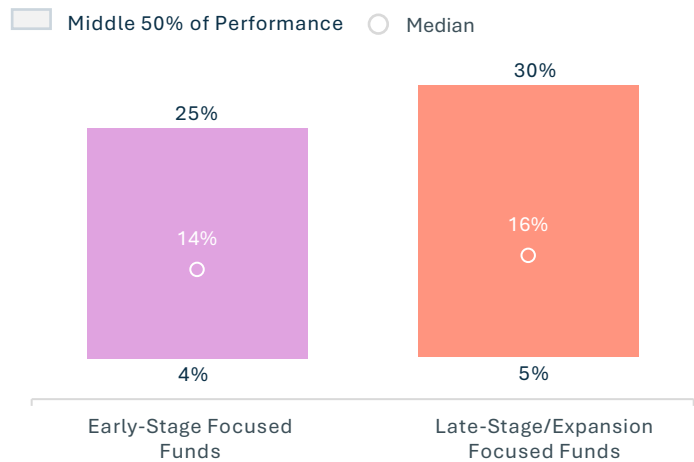
The dispersion of IRRs also becomes more pronounced at later stages. While median IRRs for early- and late-stage healthcare funds are similar, late-stage funds show wider IRR ranges. This is consistent with more concentrated exposure to some AI-driven companies where outcomes have been positive, which is why some metrics remain resilient despite a slower exit environment.

Liquidity, however, remains the key constraint. Overall, distributions to paid-in capital (DPI) has fallen sharply for vintages post-2020 as IPO and M&A activity slowed, resulting in the lack of cash distributions back to LPs. Within healthcare-focused funds, the dynamic is not uniform across strategies. Early-stage focused funds have delivered limited cash distributions, reflecting fewer near-term exit opportunities. Late-stage fund strategies show meaningfully higher DPI because liquidity in a slower exit environment is more visible and accessible at later stages.

Healthcare Funds¹ On Par With Venture Funds Net IRR for US VC Funds With and Without Healthcare as a Vertical

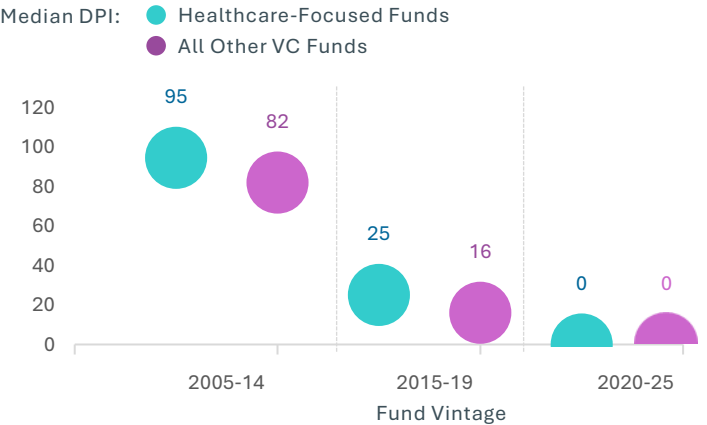


Late-Stage Funds Show Broader IRR Ranges Net IRR for US VC Healthcare-Focused Funds by Target Stage Since 2015



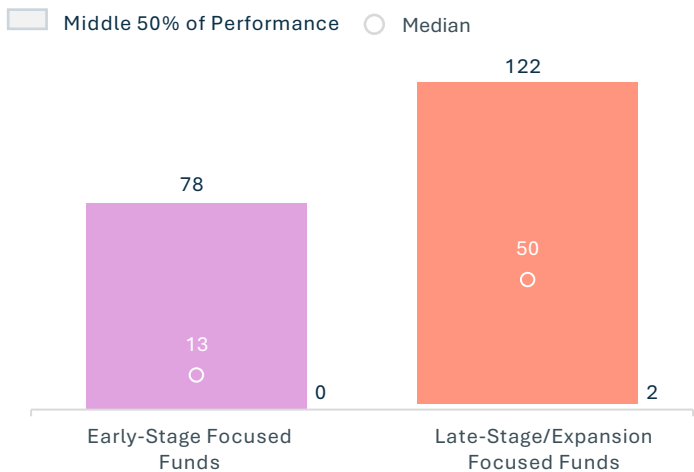
Distributions Concentrated in Older Vintages as Exit Markets Stall

Median DPI for US VC Funds With and Without Healthcare as a Vertical



Cash Distributions Are More Visible at Later Stages

DPI for US Healthcare-Focused Funds by Target Stage Since 2005



Notes: 1) Healthcare-focused funds reported as having healthcare as a main focus in Preqin's database, with a labeled VC asset class.
Source: Preqin and SVB analysis.

Most Active¹ Life Science and Healthcare Investors

Notable Investors, US and Europe (2024-2025)²

Average Size of Life Science and Healthcare Round (\$M)

Biopharma		
\$2M-\$30M	\$31M-\$100M	\$101M+
bpifrance European Innovation Council Pear Alumni Ventures Gaingels YK VENTURES	CATALIO CAPITAL MANAGEMENT <i>Lilly</i> <i>Johnson & Johnson</i> INNOVATION JJC SV F+PRIME CAPITAL PARTNERS NORWEST VENTURE PARTNERS	NEA sanofi ventures orbimed NoVo Foundation RACAPITAL FORESITE CAPITAL G/ Forbion. Ventures
Dx/Tools		
\$1M-\$10M	\$10M+	
MEDEX Partners NLC Health Ventures HCVC CALM/STORM investo capital Alumni Ventures mercia asset management Gaingels	BLUE VENTURE FUND Boston Scientific Battery INSIGHT PARTNERS G/	

Healthtech		
\$1M-\$25M	\$26M-\$60M	\$61M+
        	         	   
Device		
\$5M-\$25M	\$26M-\$50M	\$51M+
    	      	   

Have We Outgrown the Mega-Deal?

A lot of ink has been spilled about the volume, the sizes, and the valuations of AI deals. There’s no question that some of the deals being given to AI startups are challenging our assumptions about startup funding. But it’s not just mega-deals that are driving AI investment skyward. It’s the biggest of the big, the mega-est of the mega that are swelling AI investment totals.

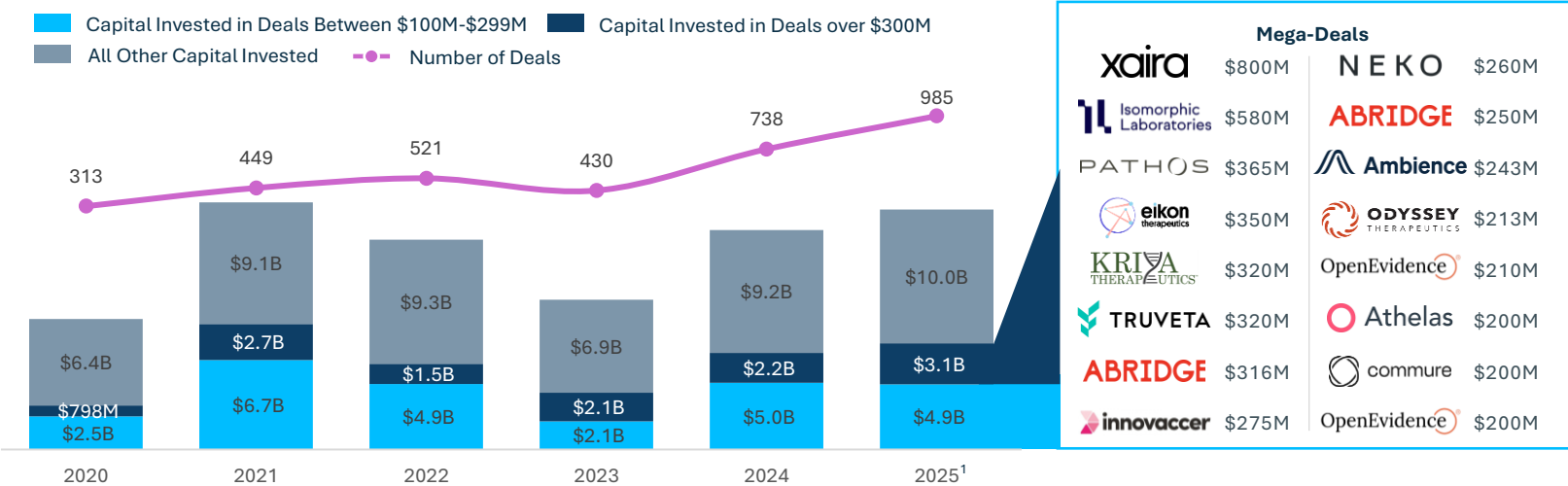
Since 2021, the total annual value of AI deals under \$100M has ranged between \$7B and \$10B. Deals over \$100M, while a third of total healthcare AI dollars in 2020, have hovered between 40% and 50% of all healthcare AI investment every year since. 2023 was the exception, when they dropped back to about a third of total dollars.

What’s really grown is the amount in AI deals more than \$300M. 2025 gave us the most healthcare AI dollars going to these deals of any year we’ve measured, even more than 2021. Those deals are the biggest changes in AI investment values. Not only is the total amount being spent bigger, they’re also a bigger share of total mega-deals. In 2021, \$300M+ deals were 29% of total spending on AI mega-deals. In 2024, they were 31%. In 2025, they were nearly 40%.

Given the enormous capital requirements of generative AI, that makes sense. AI-generated proteins and drug development rely on those models, and those are the spaces seeing the biggest deals. Other generative AI products also show up on the list. Those are the massive deals making everything else look small, not just AI.

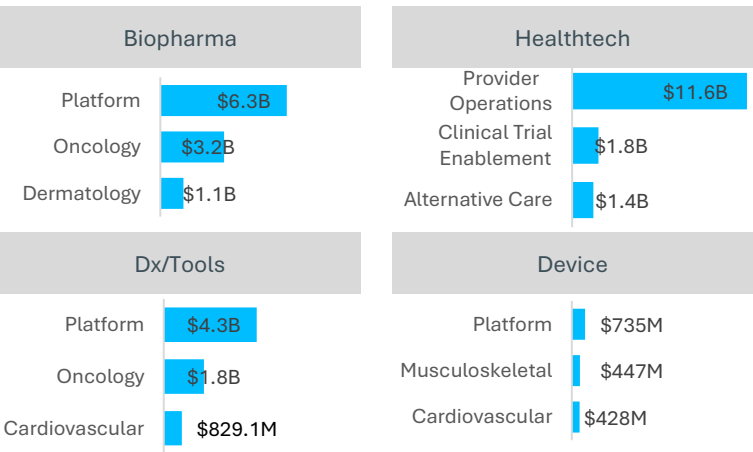
AI Deals Are Increasingly Mega and More

US and European VC Dollars and Deals for Healthcare AI



Provider Ops, Platforms and Oncology

2023-2025² Indications Receiving the Most AI Dollars



AI Investors More Generalist Than Ever

Notable 2025 AI Investors by Sector



Notes: 1) 2025 data as of 10/31/2025. 2) Companies designated as platform focus on multiple indications.
Source: PitchBook Data, Inc. and SVB analysis.

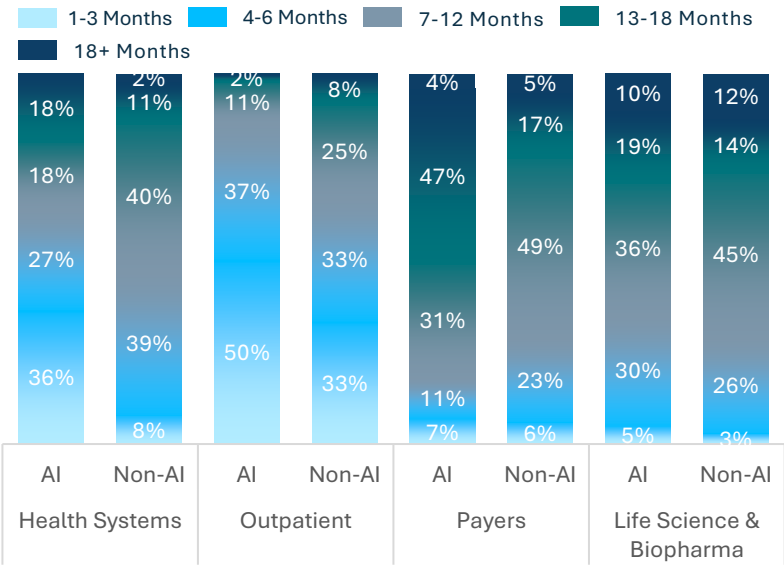
Under Revenue Pressure?

The market for healthcare AI is still growing and unlikely to peak any time soon. In an unusual inversion of the healthcare norm, health systems and providers are looking more agile than payers and biopharma, with procurement cycles for AI that are significantly faster than conventional software. Some is enthusiasm, but some is driven by the type of AI tools being purchased: largely back-office or revenue cycle tools that don't command the same levels of scrutiny that clinical tools do.

But some of the biggest companies in healthcare AI nowadays aren't in that space. Cera Care, Neko Health and OpenEvidence have AI directed at clinical users or patients. Some of those 2025 AI unicorns have less revenue than you'd expect for companies with multi-billion-dollar valuations. More concerningly, growth for those companies could become significantly more challenging as competition grows. For a company like OpenEvidence, which reports to be working with 40% of US physicians, does revenue slow at \$125M?

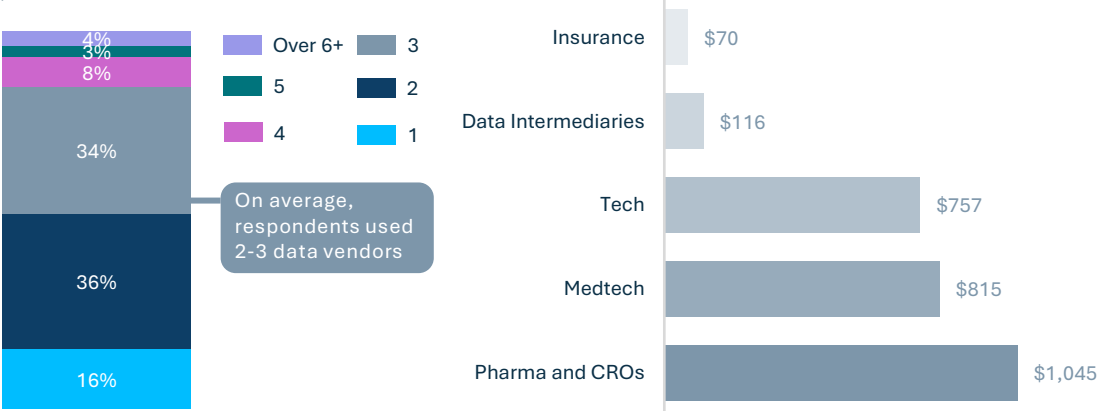
Fortunately for OpenEvidence, there are alternate revenue streams. Medtech and pharma companies will pay a premium for curated, cross-linked datasets. One 2025 survey found that about a quarter of global pharma companies were already spending at least \$50M a year on healthcare data. If the SaaS and ad-supported business models aren't enough to justify the valuations these companies are commanding, it won't be a surprise to see them tap the value of the data they're already collecting.

Health Systems Are Buying AI Faster Menlo Ventures: 2025¹ Average Time to Procure Software²



Buying Bit by Bit

LEK Consulting: 2025 Number of Data Vendors Used, Average Price Paid per Patient Record^{2, 4}



Notes: 1) 2025 data as of 10/31/2025. 2) Columns may not add to 100% due to rounding. 3) Revenue is from PitchBook Data, Inc. as of 12/10/2025. Companies are selected based on available reported revenue. 4) Question: "What would be the appropriate price you could pay for an annual access to this dataset and per-record license purchase consisting of anonymized patient data?" Prices are as of 2023. Source: Menlo Ventures, LEK Consulting, PitchBook Data, Inc. and SVB analysis.

AI Unicorns Are Promising a Lot Revenue and Most Recent Valuation of 2025 Healthcare AI Unicorns³

Company	Sector	Revenue	Most Recent Valuation (Year)
ABRIDGE	Healthtech	\$8M (2024 TTM)	\$5.3B (2025)
OpenEvidence	Healthtech	\$50M (2025)	\$6B (2025)
innovaccer	Healthtech	\$200M (2024)	\$3.5B (2025)
NEKO	Dx/Tools	\$2M (2024 TTM)	\$1.8B (2025)
Cera+	Healthtech	\$349M (2024 TTM)	\$1B (2025)

Buying activity is still strong, but everyone is planning for some level of uncertainty. Pharma and payers are concerned about regulatory issues, but also macro-economic pressures. Big tech is starting to bring things to market. [Major EHRs] are promising more and more. Large health systems are holding off on purchasing, waiting to see what they'll get as part of the EHR package."

FLARE CAPITAL PARTNERS Parth Desai Partner

Dollars Pull Back, Deals Fall

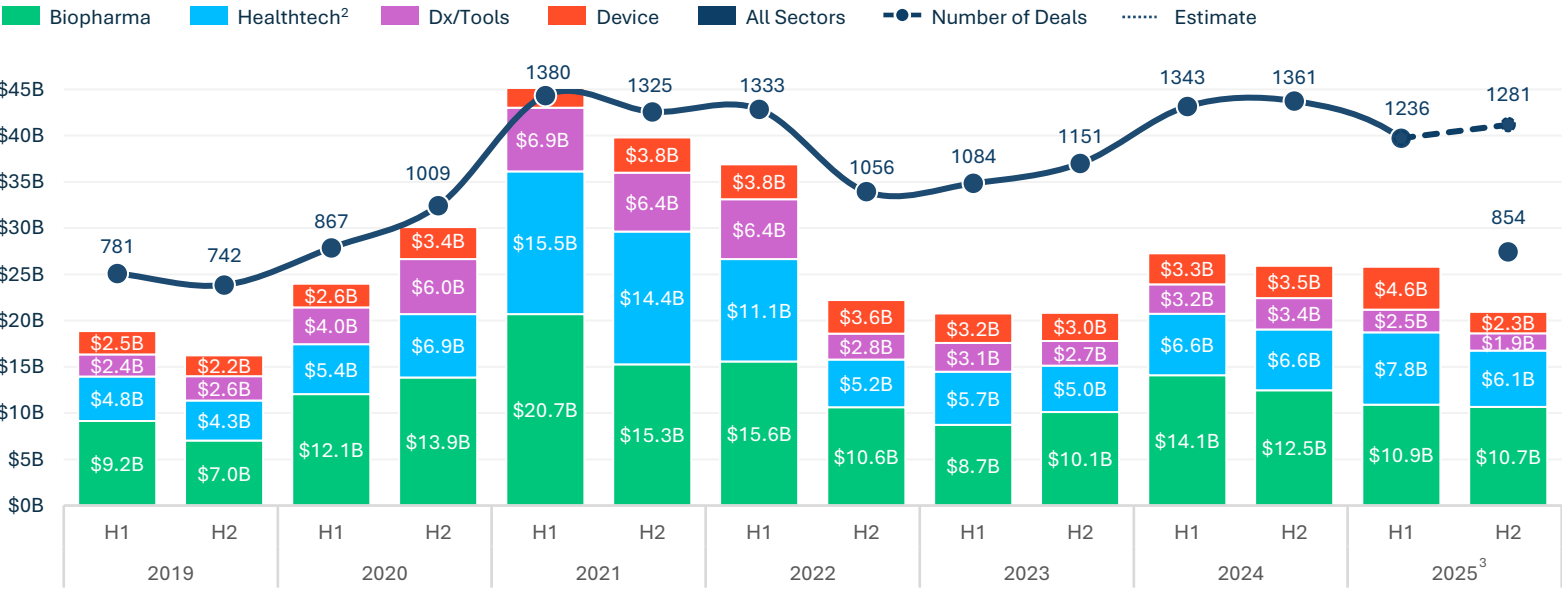
Healthcare venture investment is searching for its new normal, as dollars pull back toward pre-pandemic norms. Deal volume has fallen relative to last year, reflecting a more selective funding environment as fundraising constraints ripple through the healthcare ecosystem. Investors are writing fewer checks, and taking longer to do so, but are still willing to back the right companies.

That pullback has not been uniform across sectors. Supported by continued interest in later-stage clinical assets, biopharma remains the largest destination for capital, though activity softened in the second half of 2025. Healthtech and devices have held up better, especially in capital-efficient companies and infrastructure-oriented models that can demonstrate clearer paths to revenue. Dx/Tools continues to face the most pressure, with lingering reimbursement and commercialization challenges.

At the current trend, deals are slowly ticking up but the split between haves and have-nots is growing. Capital is increasingly concentrated in fewer deals as investors prioritize companies that show stronger fundamentals, near-term scalability, or defensibility. Fewer startups are supporting more of the total investment, and those that raising successfully are doing so on the strength of execution.

Capital Concentrates as Deal Volume Continues To Decline

US and European VC Dollars and Deals by Healthcare Sector¹



	2022			2023			2024			2025 ³		
Sectors (\$B)	US	Europe	Total	US	Europe	Total	US	Europe	Total	US	Europe	Total
Biopharma	22.3	3.9	26.2	15.2	3.6	18.8	20.3	6.2	26.6	16.7	4.9	21.6
Healthtech ²	12.8	3.5	16.3	9.7	1.1	10.8	11.7	1.6	13.2	10.8	3.1	13.9
Dx/Tools	7.6	1.7	9.2	4.3	1.4	5.8	5.0	1.6	6.6	3.1	1.3	4.4
Device	6.1	1.3	7.4	5.0	1.2	6.2	5.5	1.3	6.8	5.4	1.5	6.9
Total ⁴	48.8	10.4	59.1	34.2	7.3	41.6	42.5	10.7	53.2	36	10.8	46.8

Notes: 1)) All deals either includes institutional venture investment, corporate venture investment or are equal to or greater than \$2M, regardless of investor. Dates of financing rounds are subject to change based on add-on investments. 2) Healthtech deals that overlap with Dx/Tools and device sectors are not included in healthtech totals on this slide, but they are included in healthtech-specific analyses on page 15. 3) All 2025 data is as of 10/31/2025. 4) Total rows and columns may not add up due to rounding or companies in stealth. Source: PitchBook Data, Inc. and SVB proprietary data.



Investment by Sector

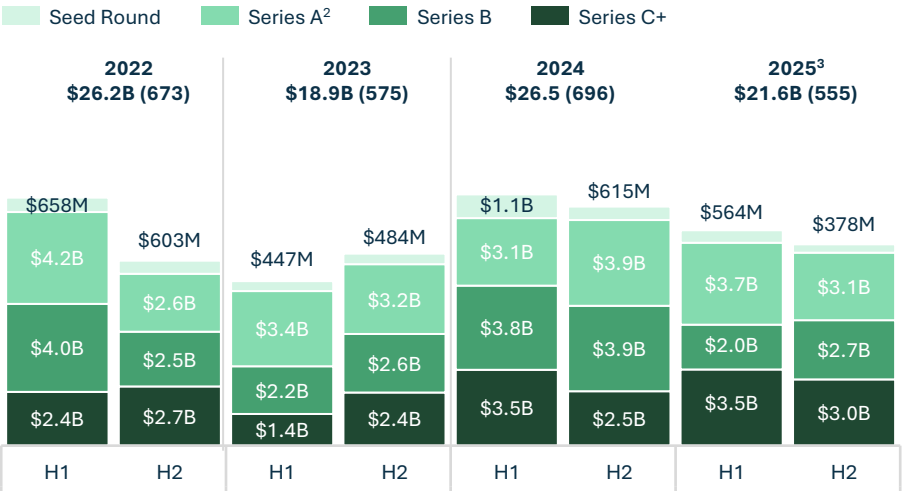
Biopharma Investment

Total biopharma funding and deal volume has dropped as investors have become more judicious and generally more selective with respect to opportunities, assets and the perceived quality of management. This theme of risk aversion is also influencing the types of bets being placed. Investors seem to be more willing to embrace “validated” ideas that leverage established biology, targets and proven modalities like bispecifics and ADCs rather than the newer and unproven ones that commanded investment during the peak. Investors are also showing a clear desire to remove future financing risk by engineering strong syndicates and ensuring companies are well funded, despite having more conservative burn rate profiles.

Amid the ongoing obesity treatment gold rush and in response to the business development desires of Big Pharma, the investment pendulum seems to be swinging to companies targeting larger indications. Therapeutic areas with a primary care angle like cardiovascular disease are becoming in vogue. The later clinical stage substrate has been largely picked over by armies of pharma business development (BD) licensing scouts. Further, the more recent transactions of this sort have set high valuation precedents and economic expectations for the originators that are unattainable for smaller companies.

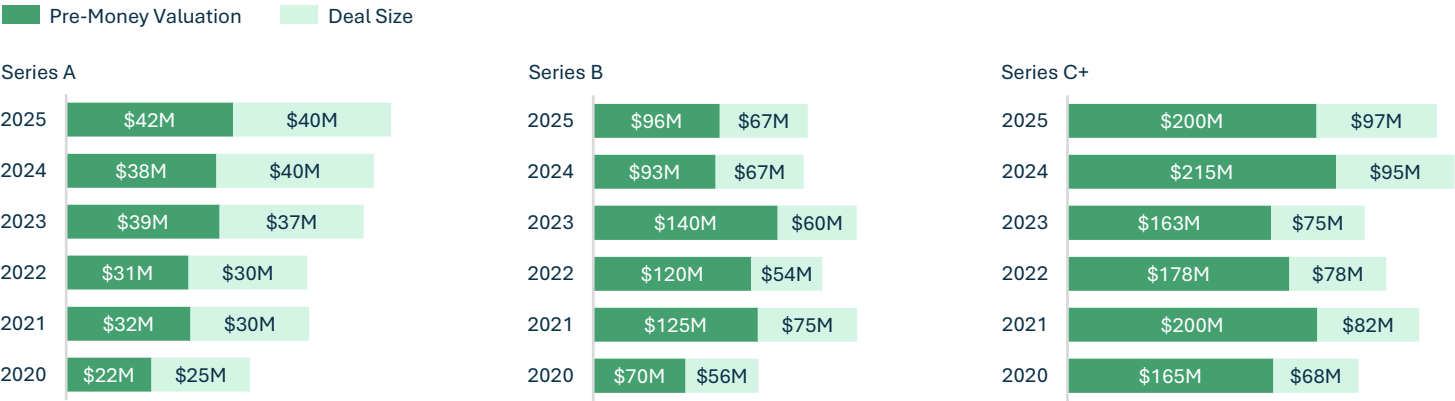
Biopharma Investment Deals Fall in H2

US and Europe Biopharma Total Dollars (and Deals)¹



Valuations Hold Firm as Fewer Deals Clear

Median Biopharma Valuations and Deal Sizes



Notes: 1) All deals either includes institutional venture investment, corporate venture investment or are equal to or greater than \$2M, regardless of investor. Dates of financing rounds are subject to change based on add-on investments. 2) The Series A criteria used for this report have been updated from previous versions of this report. Investments are considered Series A if the deal is disclosed as such. 3) All 2025 data is as of 10/31/2025.
Source: PitchBook Data, Inc. and SVB proprietary data.

Notable Biopharma 2025 Deals

Series A	Later-Stage
Verdiva Bio \$411M	PATHOS \$365M
Kardigan \$300M	eikon therapeutics \$351M
Windward Bio \$200M	AVICEDA THERAPEUTICS \$208M
callio THERAPEUTICS \$187M	NUMAB \$200M
TIMBERLYNE THERAPEUTICS \$180M	abcuro \$200M
ANTARES \$177M	TUNE THERAPEUTICS \$182M
ThirdArcBio \$165M	ATSENA THERAPEUTICS \$150M

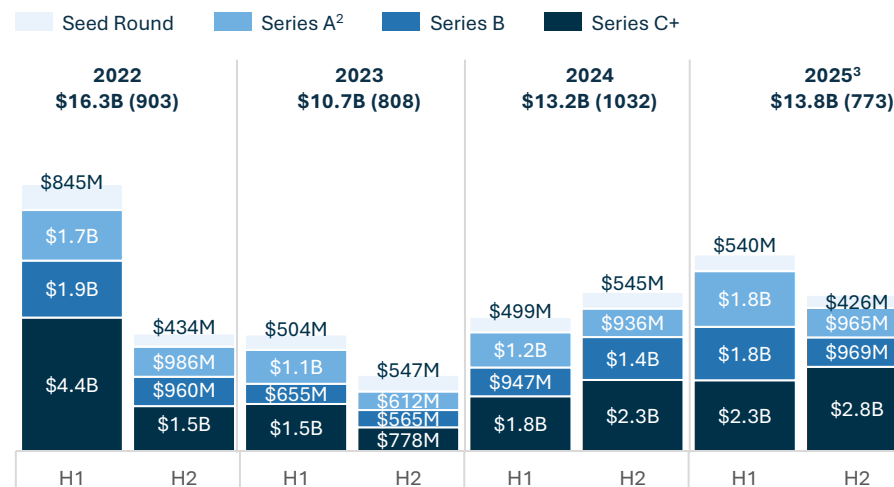
Healthtech Investment

An impressive first half gave way to a drop in investment at the end of the year. That's become a consistent theme in healthtech. But once again we see growing valuations in the early, mid- and late-stages. When the deals exist, they're as generous as they've ever been. It's getting a deal in the first place that's harder.

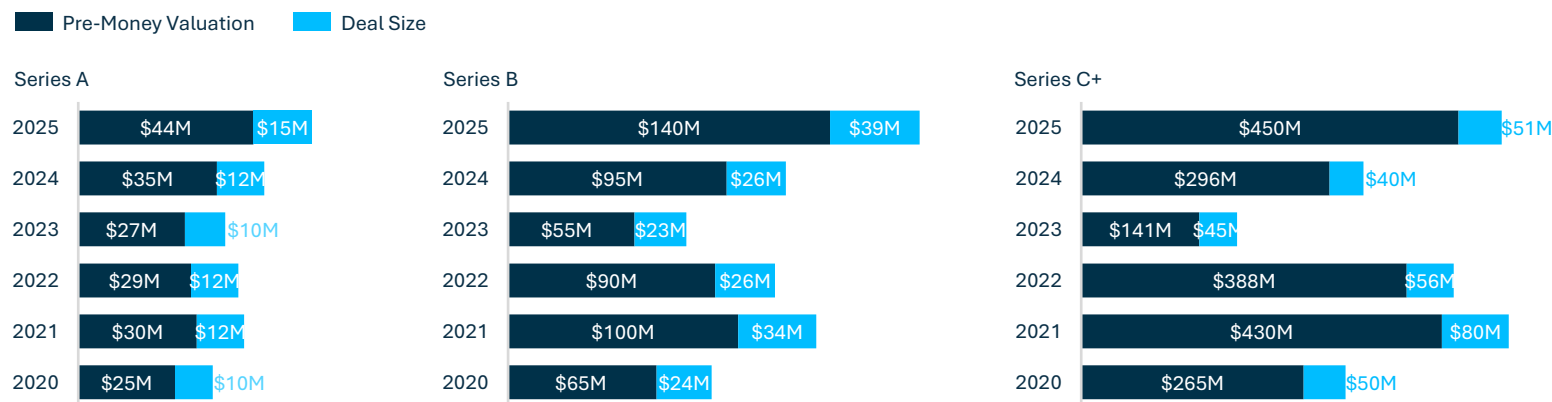
AI is still the big driver of investment, especially in the provider operations space. Ambient documentation vendors like Abridge, Freed and Commure, or data infrastructure and aggregation players like Truveta and Innovaccer, scored the biggest deals. Meanwhile, alternative care saw a boost in population-focused care options as vendors focused on seniors and children.

But it was AI-driven medical knowledge tools like OpenEvidence and AMBOSS that really took off. OpenEvidence's ad-supported model captured an enormous user base, but it needs to prove it can sustain a company. The Berlin-based AMBOSS was focused on medical students and exam preparation, but has expanded into clinical references, medical research tools, and educator support. A significant number of clinicians and providers have joined these clinical information platforms, with less resistance than AI clinical decision support tools faced in the past. As ambient documentation begins to look like a table-stakes product along the lines of telehealth, research and decision-assistance tools are looking like the next big target for healthtech investment.

Healthtech Investment Drops in H2 US and Europe Healthtech Total Dollars (and Deals)¹



Series B Valuations Bolstered by AI Median Healthtech Valuations and Deal Sizes



Notes: 1) All deals either includes institutional venture investment, corporate venture investment or are equal to or greater than \$2M, regardless of investor. Dates of financing rounds are subject to change based on add-on investments. 2) The Series A criteria used for this report have been updated from previous versions of this report. Investments are considered Series A if the deal is disclosed as such. 3) All 2025 data is as of 10/31/2025.

Source: PitchBook Data, Inc. and SVB proprietary data.

Notable Healthtech 2025 Deals

Series A	Later-Stage
OpenEvidence \$75M	TRUVETA \$320M
voize \$50M	ABRIDGE \$316M
inspiren \$35M	innovaccer \$275M
Truemed \$33M	AMBOSS \$250M
bluebird kids health \$32M	Function \$200M
AVELIOS \$31M	commure \$200M
Freed \$30M	Hippocratic AI \$141M

Dx/Tools Investment

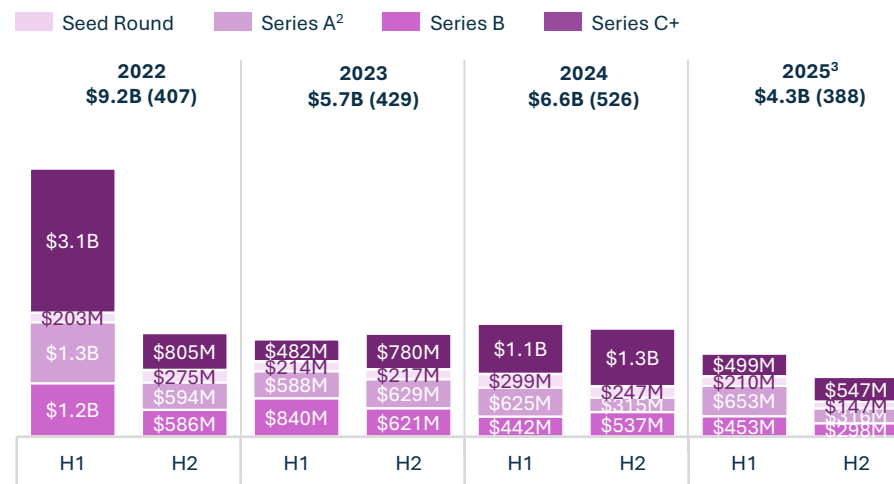
After a few years of consistency, the Dx/Tools sector dropped heavily in 2025. Companies that raised were heavily focused on AI. They also had platforms with broad markets and good short-term revenue potential. Like the rest of the industry, the era of “proof-of-concept” Series A rounds has been replaced by larger commitments with clear paths to significant value inflection points.

Investors are aggressively funding the “picks and shovels” platforms. Bioprimus’ broad foundational model for biology, Chai Discovery’s computer-aided design suite for molecules, and Stellaromics’ spatial profiling platform have the potential to compress the industry’s preclinical and clinical timelines while bringing lucrative upfront and long-term deals.

On the diagnostic side, Baylor Genetics, Quibim, Curve Biosciences, and Geneoscopy raised strong rounds driven by established data moats and experienced teams. There was also a shift towards more patient-initiated care, reflected in deals for Neko Health and Visby Medical. Although clinical utility drives reimbursement today, investors see a future for diagnostics that are proactive, continuous and decentralized.

Dx/Tools Investment Contracts in 2025

US and Europe Dx/Tools Total Dollars (and Deals)¹

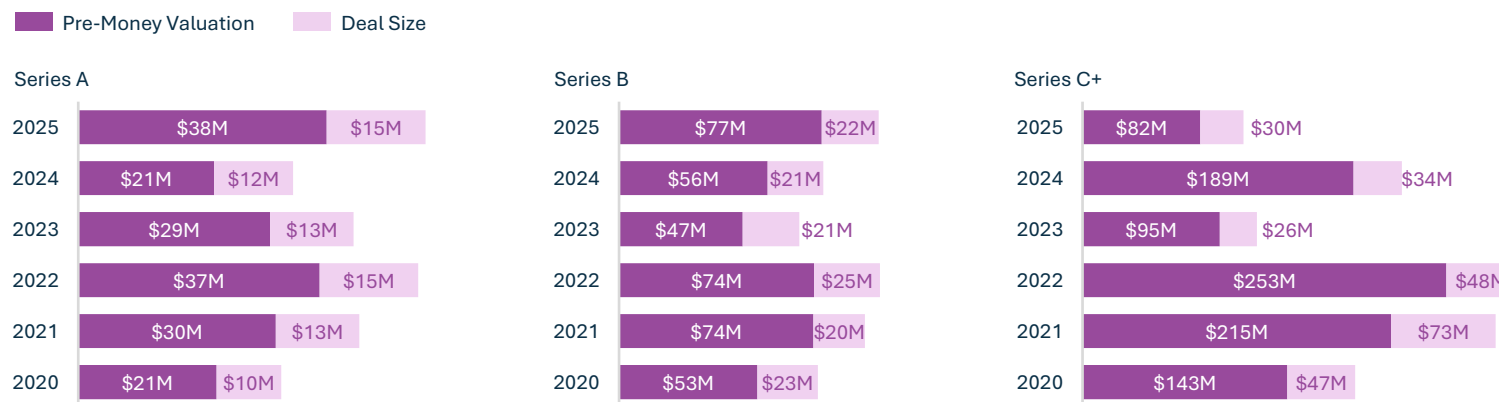


Notable Dx/Tools 2025 Deals

Series A		Later-Stage	
BAYLOR GENETICS	\$102M	NEKO	\$260M
Quibim	\$50M	Chai Discovery	\$130M
BIOPRIMUS	\$41M	Geneoscopy	\$105M
vivodyne	\$40M	anumana	\$95M
CURVE BIOSCIENCES	\$40M	Stellaromics	\$80M
Portal	\$35M	visby medical™	\$55M
PHASESCIENTIFIC	\$34M	ULTRONICS™	\$55M

Early-Stage Valuation Boost, While Late-Stage Valuations Reset

Median Dx/Tools Valuations and Deal Sizes



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Source: PitchBook Data, Inc. and SVB proprietary data.

Device Investment

After years of consistency, the device sector saw some of the pain of the larger healthcare investment market in the second half of 2025. Device has remained impressively consistent over the years but after four halves of consistent growth, major drops in funding at all stages ended that streak. Specific spaces stayed hot. Surgical robotics was solid, while the brain-computer interface (BCI) space continued to grow between Neuralink, Echo Neurotechnologies and Phantom Neuro.

Imaging technology was the last big driver. Full-body MRIs are a growing niche, especially when complemented with AI analysis that can help break down the massive amounts of data they generate. Synthetic imaging — using AI algorithms to increase the resolution, speed and manipulability of imaging technology — has gotten attention from a variety of major investors over the years. AWS, NVentures — Nvidia's corporate venture arm — and Google Ventures all continued to invest in the space this year.



2025 was a year of haves and have-nots. Some companies raised large, widely syndicated rounds. Those were companies with outstanding clinical data, big TAMs, and in the later stages. Companies that didn't fit that profile struggled. That won't end in 2026. We certainly don't have a 'rising tide lifts all boats' environment yet."

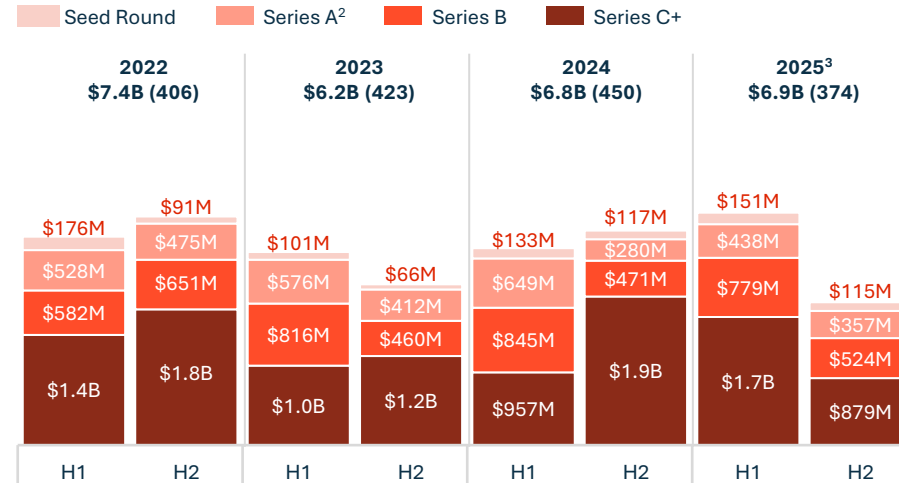


Mike Carusi
General Partner

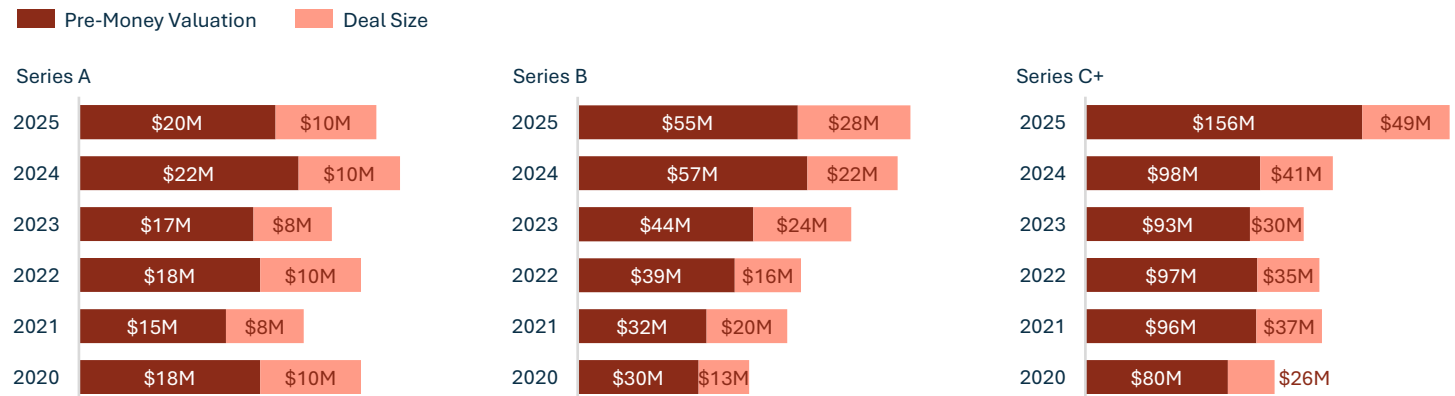


A Division of First Citizens Bank

H2 Slowdown Hits Device Investment US and Europe Device Total Dollars (and Deals)¹



Deal Sizes Hold Firm Across Stages Median Valuations and Deal Sizes



Notes: 1) All deals either includes institutional venture investment, corporate venture investment or are equal to or greater than \$2M, regardless of investor. Dates of financing rounds are subject to change based on add-on investments. 2) The Series A criteria used for this report have been updated from previous versions of this report. Investments are considered Series A if the deal is disclosed as such. 3) All 2025 data is as of 10/31/2025.

Source: PitchBook Data, Inc. and SVB proprietary data.

Notable Device 2025 Deals

Series A	Later-Stage
echo NEURO TECHNOLOGIES \$50M	NEURALINK \$650M
Field Medical \$40M	CMR SURGICAL \$200M
See All \$33M	FIRE1 \$120M
ROBEAUTE \$28M	Supira MEDICAL \$120M
ceek WOMEN'S HEALTH \$20M	SETPOINT MEDICAL \$115M
PHANTOM NEURO \$19M	biolinq \$100M
	Galvanize \$100M



Spotlight: Longevity and Healthspan

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Defining Longevity and Healthspan

For years, the longevity field has been relegated to quiet side conversations amongst VCs and corporate groups alike. Now the topic is becoming a more mainstream conversation, as even Eli Lilly and Novo Nordisk describe the promise of GLP-1 products as a “longevity” therapeutic. New approaches are less focused on how to extend *lifespan* and more centered on extending *healthspan*, i.e., longer-term, healthier living. From rejuvenating organs to younger function, helping build healthier habits, or maintaining the physical and mental abilities needed for daily life, these technologies are driving the reality of healthier aging.

Geroscience

R&D Into the Biology of Aging

- Defined by the National Institute on Aging as “the intersection of basic aging biology, chronic disease, and health.”
- Encompasses a wide area of aging diseases including but not limited to: immunity, neurodegeneration, sarcopenia, neurodegeneration and metabolic disease.
- A growing field of companies are developing therapies that look to treat the underlying aging processes that result in disease.

Notable Companies



Consumer Healthspan

Products to Stay Healthy Longer

- Acquired directly and used by a consumer or caregiver.
- Improves quality of life and extends the span of life unaffected by serious chronic disease.
- This space includes consumer-directed testing, activity/sleep monitoring, supplements, healthy eating assistance, consumer remote monitoring, social activity and similar elements of health.

Notable Companies



Intrinsic Capacity Healthtech

Apps and Tools to Extend Functional Ability

- Prescribed or offered by a medical provider.
- Tools that help maintain intrinsic capacity: locomotive, sensory, cognitive and psychological health essential to daily life.
- Areas of treatment include behavioral health, musculoskeletal care, chronic care management, social engagement, cognitive capacity, social determinants of health, remote patient monitoring and brain-computer interfaces.

Notable Companies



Reprogramming a Field

A growing elderly population needs more and better therapies to treat chronic and age-associated disease. Epigenetics — the study of changes in gene expression not driven by changes in DNA — has emerged as the biggest recipient of VC dollars in the longevity and healthspan space.

We see the field breaking into three distinct segments. *Geroscience research* is finding new mechanisms to address the systemic biological processes underlying aging changes, then mitigating or reversing them. *Consumer healthspan tools* target the user directly, addressing behaviors and everyday insights into the components of personal health that extend healthspan. And *intrinsic capacity healthtech* aims to maintain the mental and physical abilities that people rely on for daily activities. When those abilities diminish, they disproportionately affect health, functional ability, healthspan and lifespan.

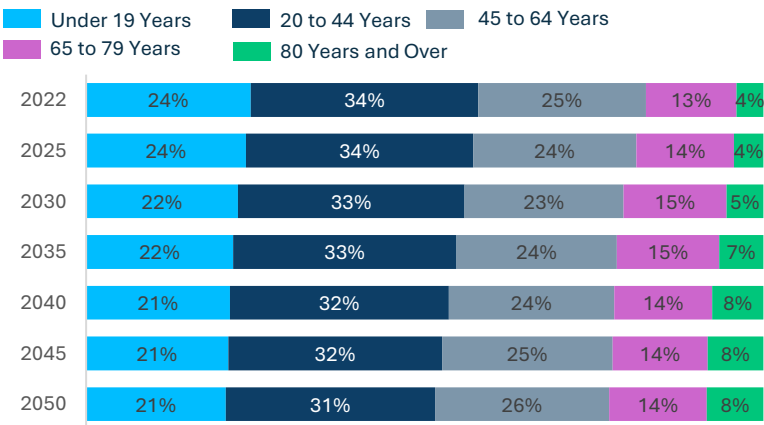
It can be difficult to align healthspan objectives aimed at preventing the emergence of disease with a revenue and regulatory system focused on treating disease. To succeed, companies looking to operate in this space need measurable clinical trial outcomes that fall within the FDA’s understanding of disease.

“How you define an aging drug: Does the pathway it addresses change with natural aging? When you replicate that aging, does the subject get sick? When you reset that change, do they improve?”

James Peyer, CEO, Cambrian Bio

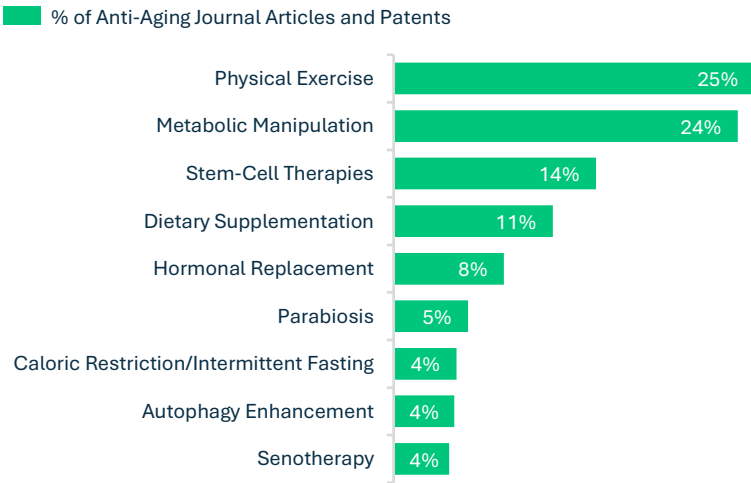
More People Are Getting Older

Projected Age Groups of US Population¹



Anti-Aging Research Focuses on Exercise

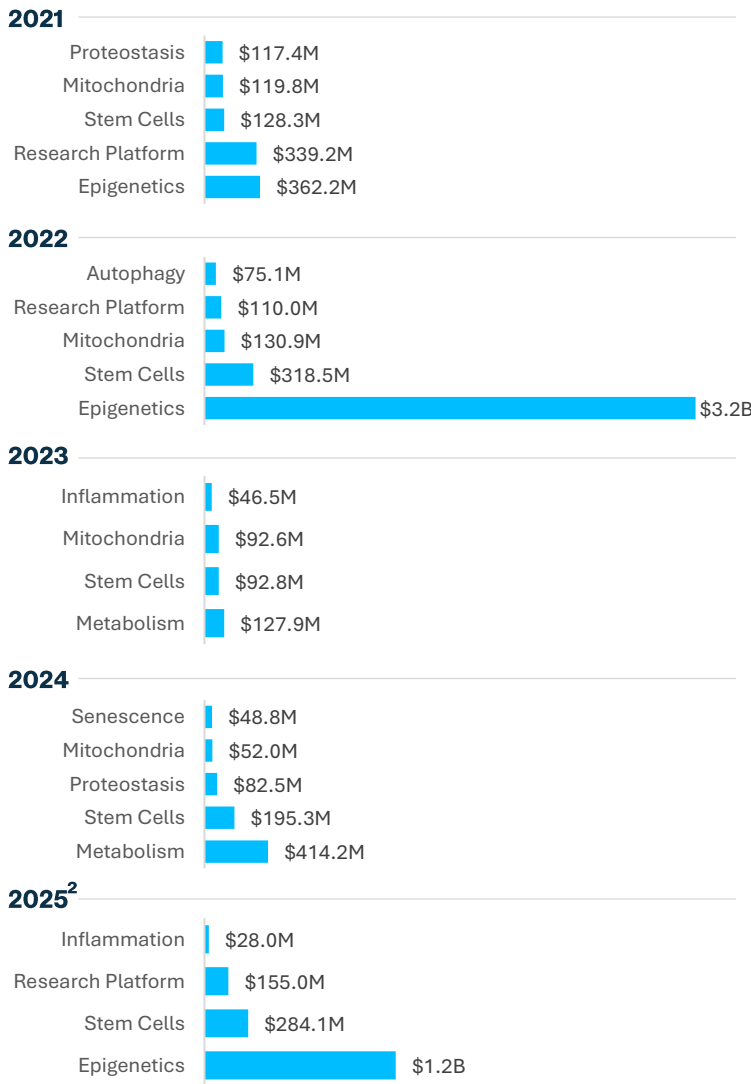
Published Anti-Aging Approaches Since 2018, by Indication¹



Notes: 1) Rows may not add up to 100% due to rounding. 2) All 2025 data is as of 10/31/2025. Source: US Census Bureau, *Nature*, American Chemical Society, PitchBook Data, Inc. and SVB proprietary data.

Epigenetics Leads the Way

Geroscience Investments by Mechanism



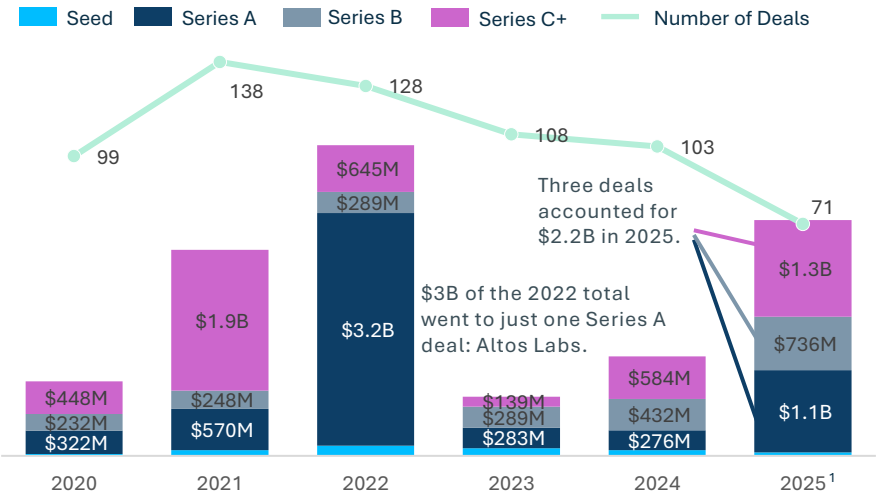
Put Money Where Your Health Is

VC investment in healthspan startups surged in 2025 after a drop in 2023, but the money hasn't been distributed very evenly. More than 50% of the total investment over the last four years went to just four companies (Altos Labs, Oura, Retro and Function Health). Three deals in 2021 accounted for \$1B (Noom, InSilico Medicine and Altos Labs again). Is longevity still a surging category when those are taken out? Without those seven deals, the space saw \$1.8B invested in 2021, \$1.3B in 2022, \$817M in 2023, \$1.4B in 2024, and \$1B in 2025 year to date (YTD).

The Big Pharma interest, however, means that this isn't likely to be a short-term trend. Eli Lilly and Novo Nordisk have both publicly called GLP-1 drugs "longevity medicines." GLP-1s have had an effect on cardiovascular disease, musculoskeletal health and neurodegeneration because of weight loss, and the neurological effects of GLP-1s on reward centers and cognition are still being investigated.

Roche, Amgen and AstraZeneca all have oral weight loss drugs in the pipeline, while Pfizer has spent billions acquiring weight loss biotech Metsera and licensing an oral GLP-1 from YaoPharma. Eli Lilly is already one of the biggest investors in the healthspan space, and it won't be a surprise to see other Big Pharma corporate venture capital groups follow suit.

This Pond Has Some Really Big Fish
Global Longevity VC Dollars and Deals



“There’s a lack of a huge success story. There’s a critique of the longevity ecosystem that there’s no FDA approved drugs. But when you look at drugs in Phase 2, Phase 3, it’s going to change in the next few years. A lot of longevity companies need to thread the needle between a long-term vision and a short-term value-creation engine bringing returns to a fund in ten years.”

NfX

Omri Drory
General Partner

Aging Up and Moving Out
2024-2025¹ Notable Longevity Exits²

Company	Exit Amount (Type)	Phase at Exit
BioAge Labs	\$615M (IPO)	Phase 1
Oviva Therapeutics	Undisclosed (M&A)	Preclinical
Evommune	\$481M (IPO)	Phase 2
Apimeds Pharmaceuticals	\$46M (IPO)	Phase 2

Notes: 1) All 2025 data as of 10/31/2025. 2) Private M&As with a minimum \$75M deal size or IPOs with a minimum \$25M deal size.
Source: DealForma, PitchBook Data, Inc. and SVB proprietary data.

Big Pockets
Top Funded 2025 Longevity Startups and Notable Investors

Startups	Investors and Portfolio Companies
Retro OURA Function NEKO NewLimit Insilico Medicine Total Raised \$1B \$907M \$300M \$260M \$130M \$123M	khosla ventures age1 HEVOLUTION Lilly FOUNDERS FUND NfX NewLimit, Rubedo, Tune Therapeutics UntilLabs, Aerska, Skeletalis Tune Therapeutics, Aeovian Pharmaceuticals Alchemab Therapeutics, NewLimit MyLaurel, Genesis Healthcare Permanence Bio, Mana.bio



Healthcare Exits: M&A and IPO Trends

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Biopharma Exits

Despite improved performance by public formerly VC-backed biopharma companies, 2025 exits slowed after an encouraging bump in 2024.

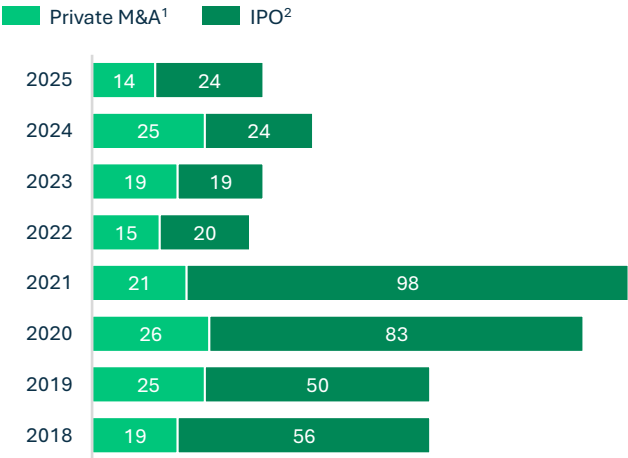
Metsera’s January IPO launched some heavy expectations for the year, easily the most successful biopharma IPO of 2025 and a signal that there’s a strong appetite for companies with successful clinical trials and a drug close to market.

More excitement came in the public markets, with the newly public Metsera at the center of a massive bidding war between Pfizer and Novo Nordisk. After competing bids, a lawsuit, and some pointed comments from inside the Oval Office itself, Pfizer ended up closing the deal. On paper, Pfizer spent \$9.2B to add an obesity drug to its portfolio. But only about 75% of that is upfront money; \$2.2B is tied to regulatory and clinical milestones.

The increasing emphasis on milestone payments helps explain why M&A has slowed, as Big Pharma increasingly prefers licensing deals that are heavily weighted towards performance and the back end, instead of buying companies outright. Hengrui Pharmaceuticals, BioNTech, 3SBio, Monte Rosa Therapeutics and Argo Biopharma all cut R&D licensing deals this year. Upfront payments across all those deals are about \$3.7B. The back end payments, on the other hand, exceed \$35B.

Biopharma Exits See Slowdown

Biopharma Private M&A Deals and IPOs



Late-Stage Clinical Assets Strong in Public Markets

2025 Biopharma IPOs by Initial Market Cap

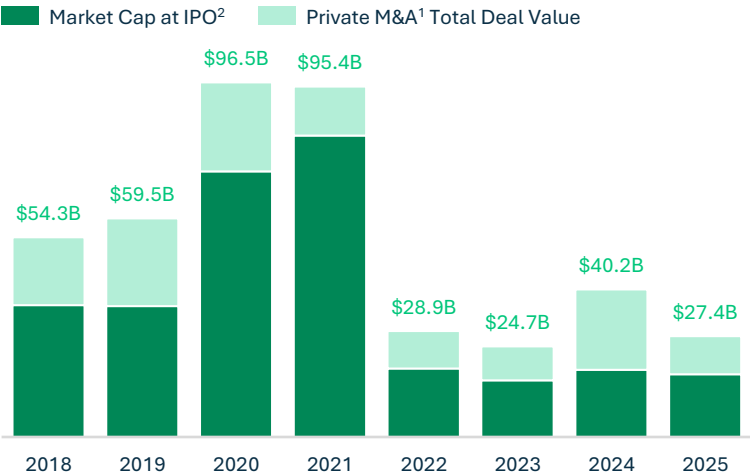
	Metsera [★]	DualityBio 康源生物	VISEN
SVB Indication	Metabolic	Oncology	Metabolic
Stage at IPO	Phase III	Phase III	Phase II
IPO Price per Share (Date)	\$18 (01/31/2025)	\$12.20 (04/15/2025)	\$8.76 (03/21/2025)
Market Cap at IPO	\$1.9B	\$1.0B	\$1.0B
Price +/-	289%	254%	-45%
Market Cap as of 12/11/2025	\$7.4B	\$3.54B	\$552.6M

Notes: 1) Private venture-backed M&As with a minimum \$75M deal size as of 10/31/2025. 2) IPOs with a minimum \$25M deal size as of 10/31/2025. 3) Stocks for biopharma companies that went public from 2015 to H1 2025. Performance measured by change in index value as of 12/11/2025 compared with S&P 500 performance.

Source: PitchBook Data, Inc., S&P Capital IQ and SVB proprietary data.

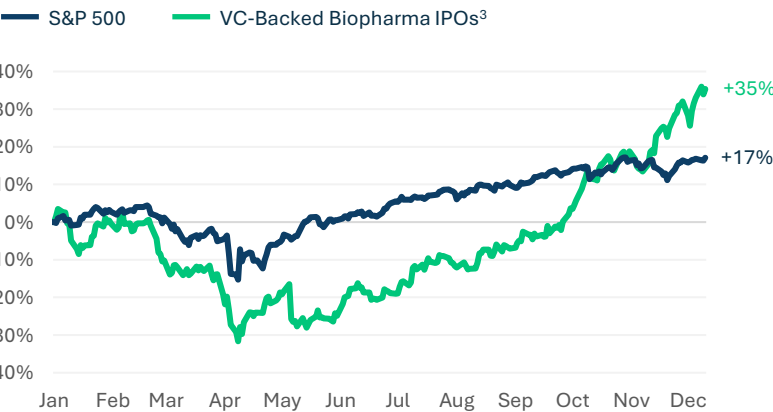
M&A Exit Value Momentum Reaches a Halt

Biopharma Exit Values by Year



Public Biopharma Performance Promising

Formerly VC-Backed Public Biopharma Index: Global 2025 Performance³



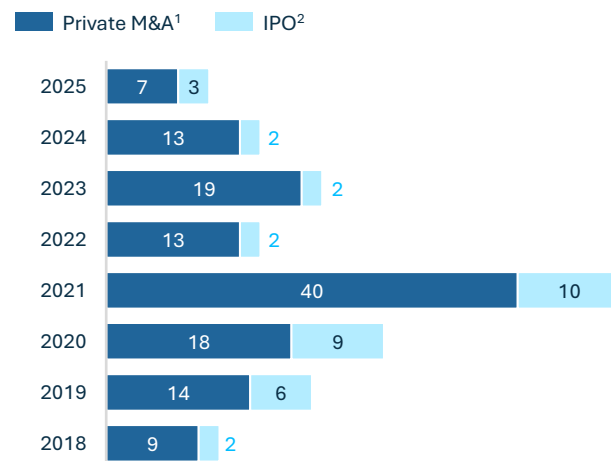
Healthtech Exits

Healthtech exits remained muted in 2025, with activity still well below pre-pandemic levels. Private M&A continues to outnumber IPOs in the exit landscape, but annual deal counts have drifted downward overall since the 2021 peak. IPO activity remains extremely limited, with only a handful of healthtech companies accessing the public markets in 2025. Deal values improved modestly, as private M&A dollars ticked up year over year, though they're still far from the highs seen in 2020-2021.

Public-market performance continues to be a headwind. Formerly VC-backed healthtech IPOs lagged the broader S&P 500 through H2, giving up early-year gains and ending the period down ~12%. In contrast, the S&P 500 closed H2 up ~17%, widening the valuation gap and reinforcing investor caution toward new listings.

The few healthtech IPOs that did price in 2025 showed wide variance in market caps and post-listing performance as seen with Hinge Health and Omada. This highlights the bifurcation between platform-level companies and single-product companies. Overall exits remain constrained, with some signs of recovery on the private-M&A side but no broad signs of a reopening IPO window yet.

Healthtech Exits Remain Few and Far Between... Healthtech Private M&A Deals and IPOs



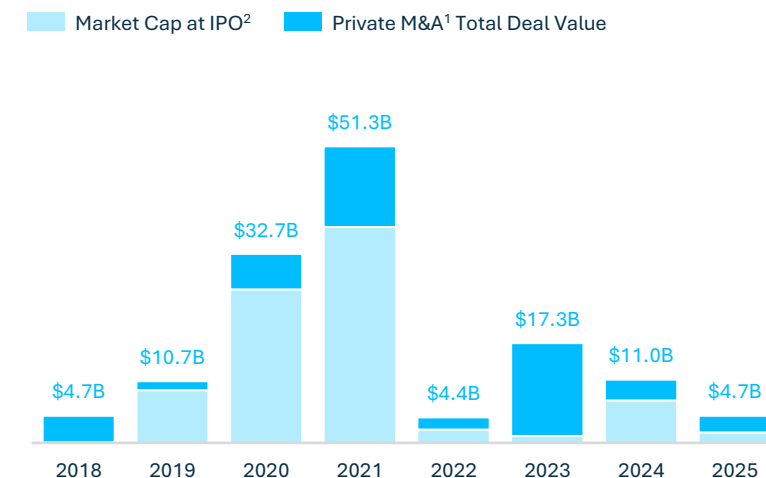
IPO Outcomes Diverge by Business Model 2025 Healthtech IPOs by Initial Market Cap

	 Hinge Health™ Every body moving.	 omada	 66nao Brain Training 六六脑科学健脑
SVB Indication	Alternative Care	Alternative Care	Platform
IPO Price per Share (Date)	\$32 (05/22/2025)	\$19 (06/06/2025)	\$0.22 (01/06/2025)
Market Cap at IPO	\$2.6B	\$1.1B	\$524M
Price +/-	50%	-19%	109%
Market Cap as of 12/11/2025	\$3.91B	\$886M	\$1.1B

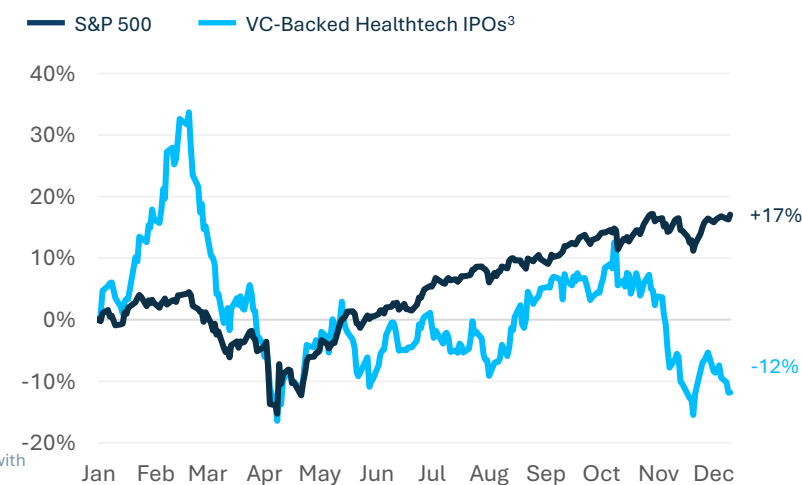
Notes: 1) Private venture-backed M&As with a minimum \$25M deal size as of 10/31/2025. 2) IPOs with a minimum \$25M deal size as of 10/31/2025. 3) Stocks for healthtech companies that went public from 2015 to H1 2025. Performance measured by change in index value as of 12/11/2025 compared with S&P 500 performance.

Source: PitchBook Data, Inc., S&P Capital IQ and SVB proprietary data.

... While Exit Value Halves in 2025 Healthtech Exit Values by Year



Public Performance Lags Broader Market in H2 Formerly VC-Backed Public Healthtech Index: Global 2025 Performance³



Dx/Tools Exits

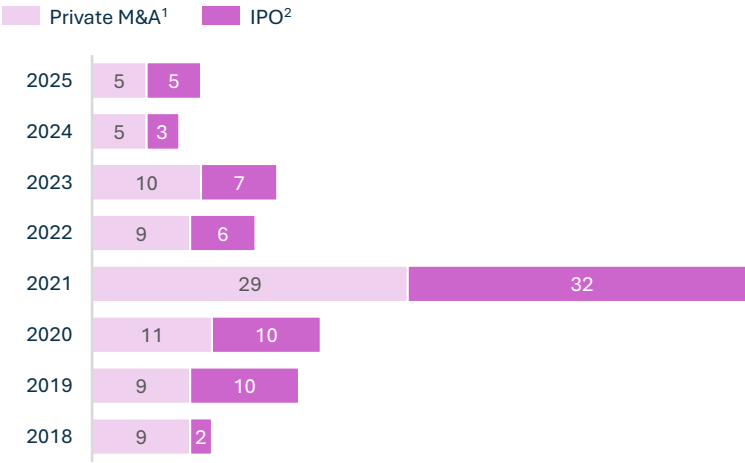
Dx/Tools exit activity in 2025 presented a polarized picture, highlighted by a flurry of activity in Q4. While 2024 lacked big transactions, 2025 saw the record-breaking announcement of Abbott acquiring Exact Sciences for approximately \$21B, giving investors a new benchmark when valuing diagnostics companies. Other strategic M&A activity saw Natera’s \$450M — \$275M upfront with \$175M of milestone payments — acquisition of Foresight Diagnostics, validating the high premium placed on clinically embedded minimal residual disease platforms.

The public markets also provided distinct bright spots, demonstrating that diagnostic companies can still access significant liquidity. BillionToOne staged a standout IPO in November, with shares doubling on debut to a ~\$4.4B valuation. This successful listing joined Heartflow and Mirxes (HKSE), both of which debuted earlier in the year and traded solidly above their IPO prices. Additionally, Freenome opened an alternative path to the public markets in Q4, announcing a \$330M SPAC merger with Perceptive Capital Solutions.

Driven by this momentum, public-market Dx/Tools sentiment improved markedly in the second half of the year. The VC-backed Dx/Tools index staged a recovery in H2, surpassing the broader market. While the exit pathway remains narrow for some, the blockbuster success of the BillionToOne IPO and the return of mega-cap M&A suggest growing receptivity for high-quality Dx/Tools companies despite a complex macro backdrop.

Few Dx/Tools Companies Reach Exit

Dx/Tools Private M&A Deals and IPOs



Notable Dx/Tools IPOs Deliver Strong Debuts

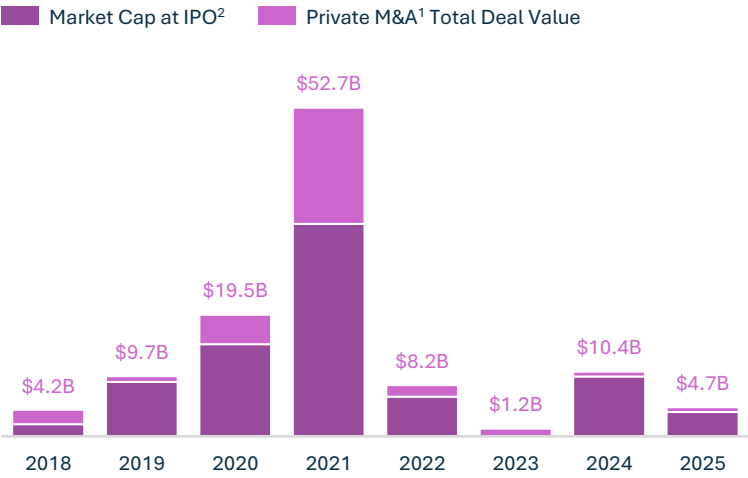
2025 Healthtech IPOs by Initial Market Cap

	Heartflow	mirxes TO KNOW. TO ACT.	BILLION TO ONE
SVB Indication	Cardiovascular	Platform	Platform
IPO Price per Share (Date)	\$19 (08/08/2025)	\$3 (05/22/2025)	\$60 (11/06/2025)
Market Cap at IPO	\$2.32B	\$1.07B	\$4.4B
Price +/-	3%	66%	5%
Market Cap as of 12/11/2025	\$2.39B	\$1.78B	\$4.64B

Notes: 1) Private venture-backed M&As with a minimum \$50M deal size as of 10/31/2025. 2) IPOs with a minimum \$25M deal size as of 10/31/2025. 3) Stocks for Dx/Tools companies that went public from 2015 to H1 2025. Performance measured by change in index value as of 12/11/2025 compared with S&P 500 performance. 4) Approximation based on outstanding shares and IPO price.
Source: PitchBook Data, Inc., S&P Capital IQ and SVB proprietary data.

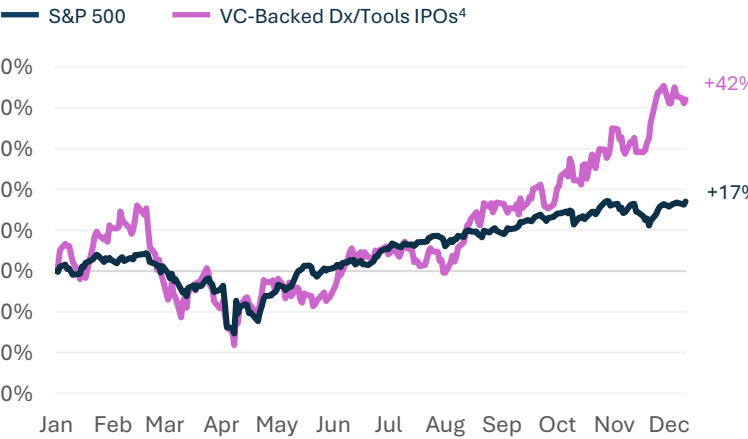
Exit Values Free Fall

Dx/Tools Exit Values by Year



Dx/Tools Stocks Rally Despite Exit Drought

Formerly VC-Backed Public Dx/Tools Index: Global 2025 Performance³



Device Exits

Device exit activity remained constrained in 2025, but the mix of exits continued to shift toward public markets. IPO volume reached its highest level since 2021 even as private M&A slowed, reflecting a narrow reopening of the IPO window for device companies that are further along commercially. Still, exit volume remained modest, with just six device IPOs this year, highlighting how selective the market remains.

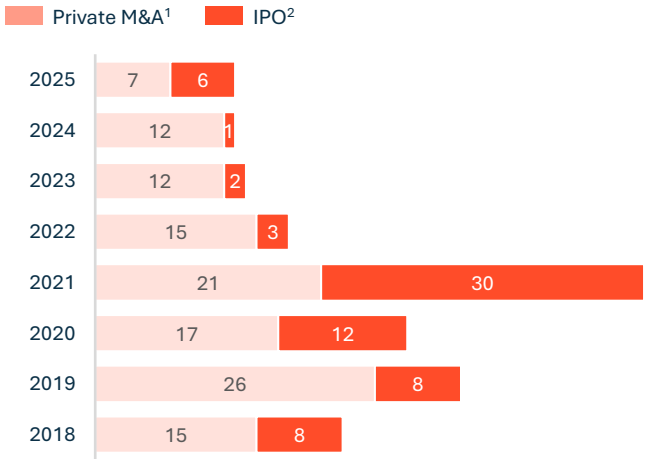
Exit values rebounded to \$9.2B, driven by fewer transactions. This echoes a familiar post-2021 pattern: fewer exits with meaningful value attached to assets that can demonstrate scale and durability. Public buyers are underwriting certainty.

The IPOs that did clear the market skewed decisively toward revenue-ready platforms. Companies like Kestra Medical Technologies (non-invasive monitoring), Beta Bionics (commercial insulin delivery), and Shoulder Innovations (orthopedic implants) entered the public markets at a commercial stage, with initial market caps ranging from \$300M to \$840M and generally positive post-IPO performance. By contrast, earlier-stage or reimbursement-dependent device companies continue to face longer exit timelines.

Public market performance reinforces this selectivity. Formerly VC-backed device stocks ended the year roughly flat: below the S&P 500, but stabilizing in the second half.

Device IPOs Highest Since 2021

Device Private M&A Deals and IPOs



Revenue-Ready Device IPOs Flourish

2025 Device IPOs by Initial Market Cap

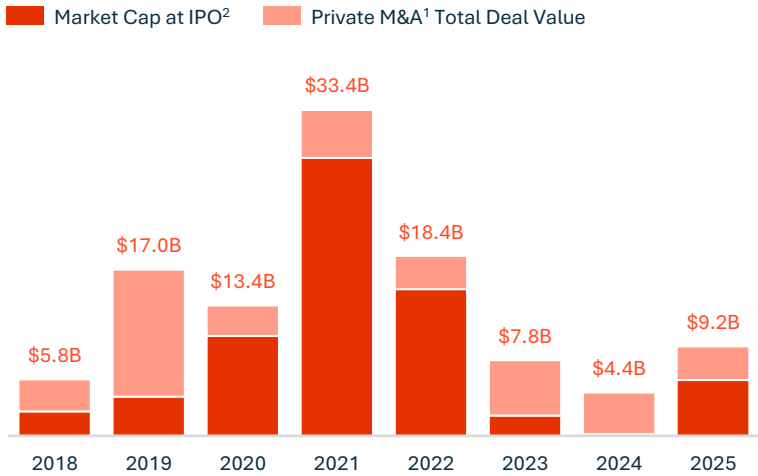
			
SVB Indication	Non-Invasive Monitoring	Drug Delivery	Orthopedic
Stage at IPO	Commercial	Commercial	Commercial
IPO Price per Share (Date)	\$17 (03/26/2025)	\$17 (01/31/2025)	\$15 (06/31/2025)
Market Cap at IPO	\$842M	\$729M	\$304M
Price +/-	69%	77%	0.3%
Market Cap as of 12/11/2025	\$1.43B	\$1.29B	\$305M

Notes: 1) Private venture-backed M&As with a minimum \$50M deal size as of 10/31/2025. 2) IPOs with a minimum \$25M deal size as of 10/31/2025. 3) Stocks for device companies that went public from 2015 to H1 2025. Performance measured by change in index value as of 12/11/2025 compared with S&P 500 performance.

Source: PitchBook Data, Inc., S&P Capital IQ and SVB proprietary data.

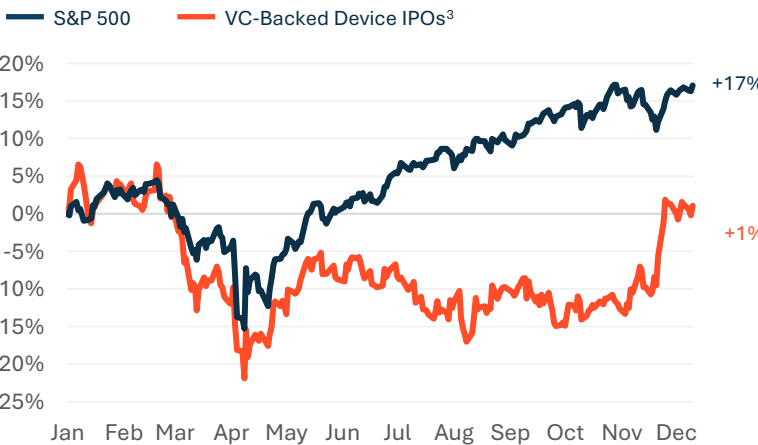
Exit Values Rebound as IPOs Return

Device Exit Values by Year



The Index Is Back to Where We Started

Formerly VC-Backed Public Device Index: Global 2025 Performance³



Authors & Acknowledgements

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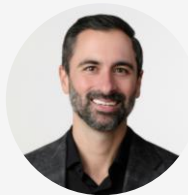


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Megan leads a nationwide team dedicated to serving the unique needs of innovative life science and healthcare companies at all stages of growth. With 25+ years of experience financing innovation, she develops creative capital solutions for clients, connects investors and stakeholders to high-impact opportunities, and manages a dynamic and complex banking P&L.

Megan joined SVB in 1997. Prior to her current leadership role, she served as Global Senior Credit Officer, leading a team responsible for international deals, including holistic and specialized debt financings.

Megan is active in supporting entrepreneurial organizations and events throughout the Washington, D.C., area, where she resides. She holds a bachelor's degree in business administration, specializing in finance, from the University of Colorado in Boulder.



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Matt manages relationships with VC firms focused on healthcare and life science investments and supports founders across the ecosystem. He is also responsible for conducting data-driven analyses on the global healthcare innovation economy that SVB serves. Prior to SVB, Matt held various leadership and business operations roles at biotech startups in the Bay Area after spending the beginning of his career as a scientist.

Matt holds a Ph.D. in developmental and stem cell biology from UCSF, a Master of Science in biomedical sciences and stem cell biology from SF State, and a bachelor's from Wesleyan University.

Matt is also the co-founder of the well-attended Life Science Hikers group, a bicoastal community of more than 2,500 biotech professionals who meet monthly for hikes and networking.



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Bill leads coverage for life science and healthcare clients on the East Coast. In this role, Bill leverages a more than 25-year VC career, bringing deep expertise in leading and managing equity investments across the life sciences innovation ecosystem.

Prior to SVB, Bill served as Managing Partner and portfolio manager for life sciences strategy at Forest Road. Before that, he founded and led Pfizer Ventures as Senior Partner, where he spent nearly 20 years directing life science venture investments on behalf of Pfizer Inc. Earlier, he held various business development roles at several biotechnology companies.

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